

Japan Daily Brief

Saturday, September 26, 2026

1,584 words · 6 min read

RE: Trump-Xi summit alarms Tokyo · Yen surges on Trump weak-yen remarks · Japan-US drill to include long-range missiles · DPRK nuclear vow

NIKKEI 225
66,364.20
▲ +3.82%

USD/JPY
157.19
▲ +0.09%

BRENT
\$97.44
▼ -2.89%

BOJ RATE
1.25%

• TOP STORIES

CHINA-JAPAN

Xi used WWII framing and wartime-ally narrative at Trump summit to challenge US support for Japan and Taiwan

In talks with President **Donald Trump**, Chinese leader **Xi Jinping** deployed praise, warnings, and wartime history to challenge American support for Taiwan and Japan, the NYT reports, with Xi framing China as a WWII co-belligerent alongside the US. Trump's remarks about China as a wartime 'ally' have drawn bewilderment in Tokyo, where officials are urgently analyzing the summit's implications for the alliance.

per NYT: "At Summit, Xi Sought to Tilt Trump's Stance on America's Place in Asia"

NYT

ALLIANCE

Tokyo fears China will exploit Trump-Xi summit to entrench anti-Japan narrative; Takaichi seeks Trump call

Japan is wary that China will use the warmth of the Trump-Xi summit to bolster a narrative framing Tokyo's security posture as revived militarism. Prime Minister **Sanae Takaichi** is believed to be seeking a telephone call with President Trump to dispel Tokyo's concerns about any understandings reached at the summit.

per The Japan Times: "Japan wary China could use Trump-Xi summit to bolster narrative against Tokyo"

THE JAPAN TIMES

ECONOMY-BOJ

Japan and US finance chiefs confirm yen undervaluation is a problem following Trump's disclosure to Takaichi

Finance Minister **Satsuki Katayama** and Treasury Secretary **Scott Bessent** held an online call confirming that the undervalued yen is a shared concern, hours after Katayama disclosed that Trump had raised the issue directly with PM Takaichi. The yen strengthened as much as 1.2% to ¥156.94 per dollar on the news, its largest intraday move since September 7.

per Mainichi: "Japan, US finance chiefs share concern over 'undervalued yen'"

MAINICHI

DEFENSE

October Japan-US joint drill to incorporate GSDF long-range missiles for first time

A major bilateral drill starting in October will involve the Ground Self-Defense Force's long-range missile units, integrating Japan's counterstrike-capable assets into combined exercises with US forces for the first time. The exercise marks a concrete operationalization step following Japan's December 2022 National Security Strategy commitment to counterstrike capability.

per Mainichi: "Japan-US drill to start October to involve Japan's long-range missiles"

MAINICHI

CHINA-JAPAN

Trump's WWII 'ally' remarks about China draw concern in Japan

Trump's framing of China as a World War II ally during the Washington summit has raised eyebrows across Japan's political and security establishment, where WWII historical memory is central to the legitimacy of the postwar US-Japan alliance. Japanese government officials are reported to be urgently analyzing the summit transcript and its implications for bilateral alignment narratives.

per Nikkei Asia: "Trump remarks on China as WWII 'ally' raise eyebrows in Japan"

NIKKEI ASIA

DPRK

North Korea vows permanent nuclear status and rebuffs US-Japan-ROK denuclearization push

North Korea's foreign ministry declared the country's nuclear weapons status 'irreversible' and explicitly rebuffed the US-Japan-South Korea trilateral push for denuclearization, compounding last week's claimed hypersonic missile test. The Japan Times reviews the full scope of Pyongyang's provocations during Japan's Autumnal Equinox holiday week.

per The Japan Times: "While Japan was on holiday, Tokyo had an eventful week with North Korea - The Japan Times"

THE JAPAN TIMES

• STAT OF THE DAY

1.2%

Yen's intraday gain vs. dollar on Sep 26 — strongest since Sep 7

The yen strengthened as much as 1.2% to ¥156.94 per dollar, outperforming all other Group-of-10 currencies, after Finance Minister Katayama disclosed Trump's yen comments to PM Takaichi.

Yen rises as Japanese officials say weak currency is problem — Japan Times

• JAPANESE GOVERNMENT

PM Watch: No confirmed PM appearance today · 1 day(s) since last confirmed appearance

財務省 · MINISTRY OF FINANCE · Finance Minister Satsuki Katayama

Katayama declares PM Takaichi 'not a reflationist,' reiterates readiness to support yen

Finance Minister Katayama stated in a Bloomberg interview that Prime Minister Takaichi is 'not a reflationist,' seeking to reassure markets that the government does not intend to pursue Abenomics-style monetary easing. She also reiterated readiness to intervene again in support of the yen and played down concern over recent bond yield rises.

→ The Japan Times ↗

内閣官房長官 · CABINET SECRETARIAT / CHIEF CABINET SECRETARY · Chief Cabinet Secretary Minoru Kihara

Kihara states Japan will closely monitor US-China summit outcome

Chief Cabinet Secretary **Minoru Kihara** stated at his September 25 press conference that Japan will closely monitor the Trump-Xi summit, reflecting Tokyo's concern that Washington and Beijing could reach understandings affecting Japan's security position without Japanese input.

→ Google News ↗

• PUBLIC SENTIMENT & APPROVAL POLLING

POLLSTER	APPROVE	DISAPPROVE
ANN · Sep 23, 2026	58.3%	27.6%
Kyodo · Sep 23, 2026	53.4%	30.9%
Nikkei · Sep 5, 2026	62%	33%
Yomiuri · Sep 19, 2026	59%	30%
FNN · Sep 15, 2026	61.6%	32.2%
NHK · Sep 10, 2026	52.8%	30.8%
JNN · Sep 7, 2026	62.5%	34.9%
Asahi · Sep 5, 2026	53%	33%

Discourse: Approval ratings across pollsters rose following the September 17 cabinet reshuffle, with Nikkei showing the highest reading at 62%; the Jiji pre-reshuffle figure of 44.1% illustrates the bounce the reshuffle delivered.

Poll tracker: **Observing Japan approval-rating aggregator** →

FINANCE · THE JAPAN TIMES

Rising JGB yields stall Japanese repatriation rush as investors await rate clarity

Major investors remain reluctant to commit heavily to domestic Japanese government bonds while yields are still climbing and there are few signals about the terminal rate, stalling the anticipated large-scale repatriation of overseas holdings. The 10-year JGB yield stands at 1.50%, reflecting the BOJ's ongoing policy normalization.

MACRO · NIKKEI ASIA

US-Japan finance chiefs discuss yen after Trump raises concerns; dollar-yen moves to 157 range

Finance Minister Katayama and Treasury Secretary Bessent discussed yen levels following Trump's disclosure during the Takaichi bilateral, with the yen strengthening to the 156-157 range. Nikkei Asia notes the disclosure of a sitting US president's currency concerns to a foreign leader's finance minister is unusual and raises questions about coordinated policy.

MANUFACTURING · NIKKEI ASIA

Surge in Chinese chemical imports puts Japan's industry on alert

Japanese chemical manufacturers are raising alarms over a sharp rise in low-cost Chinese chemical imports, which industry groups warn threatens domestic production viability. The trend parallels concerns in steel and electronics components, where Chinese overcapacity has already displaced Japanese producers in regional markets.

AUTO · NIKKEI ASIA · TOYOTA

Toyota's China EV strategy bypasses Japanese parts suppliers

Toyota's accelerating localization of its electric vehicle supply chain in China is leaving traditional Japanese component suppliers behind, as the automaker partners with Chinese battery and electronics firms. The shift raises questions about the long-term competitiveness of Japan's tier-one auto supplier ecosystem.

TECH · NIKKEI ASIA · SAKANA AI

AI pioneer Jürgen Schmidhuber to join Japan's Sakana AI as science adviser

Sakana AI, the Tokyo-based generative AI startup, will add LSTM co-inventor **Jürgen Schmidhuber** as science adviser, strengthening its international research profile. The appointment comes as Japan seeks to position itself as an AI hub under its economic security framework.

REGIONAL PRESSURE WATCH

Normal — 8 items

CHINA

China's state media (ECNS) continued pressing Japan to 'earn trust through concrete actions' following PM Takaichi's UNGA call to remove UN Charter 'enemy state' clauses, maintaining Beijing's sustained counter-narrative framing Japan's security posture as revived militarism. Tokyo is separately wary that the Trump-Xi summit could be exploited by Beijing to reinforce this narrative in Washington, with the Japanese government urgently analyzing summit outcomes.

NORTH KOREA

North Korea's foreign ministry declared the country's nuclear weapons status 'irreversible' and explicitly rebuffed the US-Japan-South Korea trilateral denuclearization push, compounding last week's claimed hypersonic missile test of what Janes assessed as an HGV-equipped Hwaseongpho-11 variant. Asia Times analysis frames the hypersonic test as a direct check on Japan's nuclear umbrella credibility.

Senkaku / ECS: No new China Coast Guard incursion or PLA activity near the Senkakus is reported in today's articles; Beijing's pressure on Japan remains primarily in the diplomatic and narrative domains following Takaichi's UNGA speech.

"earn trust through concrete actions"

Chinese state media (ECNS), attributing China MOFA position · China urges Japan to earn trust through concrete actions — ECNS - UA.NEWS

Bottom line: The Trump-Xi summit's historical-revisionism framing — Xi positioning China as a WWII US ally — is the primary strategic concern for Tokyo this weekend, as it potentially erodes the moral and historical architecture of the US-Japan alliance narrative; DPRK's permanent nuclear declaration compounds the multilateral deterrence challenge Japan faces.

• U.S.-JAPAN RELATIONS

TRADE · NIKKEI ASIA

Trump's yen remarks to Takaichi fuel speculation over coordinated currency policy

Nikkei Asia reports that Trump's raising of yen weakness directly with PM Takaichi — and Finance Minister Katayama's subsequent public disclosure — is generating speculation in markets and policy circles about whether the two governments are moving toward a coordinated currency stance. The episode recalls the 1985 Plaza Accord dynamic, though no formal framework has been indicated by either government.

• INDO-PACIFIC PARTNERS

KOREA-JAPAN · NHK

Japan-South Korea cultural exchange event underway in Tokyo

A Japan-South Korea cultural event is underway in Tokyo, part of ongoing bilateral people-to-people engagement programs as the two governments continue to manage the normalization track initiated in 2023.

QUAD · NIKKEI ASIA

Japan to digitize CFIUS-style foreign investment review filing process

Japan plans to move its foreign direct investment review filing system — modeled on the US CFIUS framework — online, streamlining the process for inbound investors while maintaining national security screening. The reform follows a quadrupling of overseas investment fund entries to Japan over four years.

SOUTHEAST ASIA · NIKKEI ASIA

Overseas investment fund entries to Japan quadruple over four years

The number of overseas investment funds entering Japan has quadrupled over the past four years, reflecting structural governance reforms and the weaker yen's effect on asset valuations. The inflow spans funds from the US, Europe, and Southeast Asia.

• UPCOMING

Oct
1

Japan-US joint drill begins, incorporating GSDF long-range missiles

A major bilateral exercise starting in October will for the first time integrate Japan's Ground Self-Defense Force long-range missile units, operationalizing counterstrike capability in a combined context. Specific start date reported as October; exact day not specified in source.

Oct
1

Fall Diet extraordinary session expected (timing to verify)

An extraordinary Diet session is anticipated following the September cabinet reshuffle; specific convening date has not been confirmed in today's articles. Carry forward pending official announcement.

Nov
3

Culture Day (文化の日)

The 1946 constitution was promulgated on this date.

Dec
1

Cabinet draft budget deadline (recurring — estimate)

Japan's annual budget cycle targets a Cabinet draft budget in December, following MOD budget requests submitted in late summer. The Takaichi government's pledge to avoid new deficit bonds while funding defense expansion makes this cycle unusually complex.

Mar
31

Host-Nation Support Special Measures Agreement expiry

The current US-Japan Host-Nation Support Special Measures Agreement runs through March 31, 2027, at approximately ¥211 billion per year; renegotiation will be a focal point for alliance managers over the coming months.

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